CheckPass

INVESTOR CONFIDENTIAL MEMO • BUSINESS MODEL & ECONOMICS

The All-in-One Operating System for Gated Estates in Africa

Bridging mission-critical gate security, automated dues collection via Paystack, and verified resident artisan services across multi-billion Naira residential communities.

85.4%	< 1%	₦2.25B
SOFTWARE GROSS MARGIN	ESTIMATED ANNUAL CHURN	SAM ARR (LAGOS & ABUJA)

Sheffy Technologies Ltd.
Corporate Strategy, Unit Economics & Investor Overview
Lekki Phase 1, Lagos, Nigeria

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1. The Market Opportunity & Core Problem

MARKET DYNAMICS

In major urban centers across Sub-Saharan Africa (led by Lagos, Abuja, Port Harcourt, Accra, and Nairobi), municipal infrastructure gaps have forced middle- and upper-class populations into **private gated residential estates**. These estates operate as autonomous micro-governments: they hire private security forces, pave their own roads, generate electricity via shared industrial diesel plants, and levy mandatory service charges.

The Status Quo: Fragmented & Broken

- ✓ **Paper Logbooks:** 15–minute gate queues during rush hours; endless intercom calls to verify visitors.
- ✓ **Dues Collection Crisis:** Up to 35% of monthly diesel and security levies go unpaid due to manual bank transfer matching.
- ✓ **Unchecked Move-Out Thefts:** Rogue tenants and moving contractors cart away leased air conditioners and fixtures without authorization.
- ✓ **Security Breaches:** Unvetted external artisans (electricians, plumbers) enter unmonitored, driving estate burglaries.

The CheckPass Operating System

- ✓ **Sub-4s Optical QR Passes:** Resident creates a pass in 2 taps; shares direct WhatsApp link. Security scans instantly.
- ✓ **Integrated Paystack Dues Engine:** Automated card, USSD, and bank transfer payments with instant digital receipt reconciliation.
- ✓ **Photo Move-Out Clearance:** Mandatory photo-verified departing manifest validated by security before barrier is lifted.
- ✓ **Vetted Artisan Directory:** Built-in community marketplace of screened local tradesmen with security audit trails.

THE 3 PILLARS OF ESTATE OPERATIONS

INTEGRATED ARCHITECTURE

PILLAR 1: GATE SECURITY
- Sub-4s QR Clearance
- Offline Cryptographic Tokens
- Photo Asset Move-Out Manifest

PILLAR 2: PAYSTACK FINTECH
- Service Charges & Diesel Dues
- Instant Automated Digital Receipts
- Zero-Spreadsheet Admin Ledger

PILLAR 3: ARTISAN MARKET
- Vetted Electricians & Plumbers
- Gate-Tracked Contractor Passes
- Resident Safety Rating System

The "Trojan Horse" Go-To-Market Strategy

CheckPass enters an estate through the **Gatehouse Access Control** wedge—a high-friction, emotional daily pain point for homeowners and estate executives. Once gate adoption is entrenched, CheckPass becomes the mandatory communication bridge for every household, enabling frictionless expansion into **recurrent dues processing** and **home maintenance marketplaces**.

2. Pricing Architecture & Unit Economics

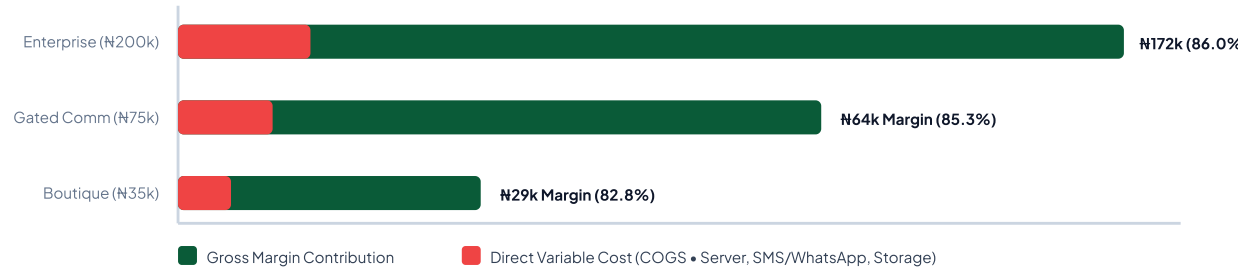
FINANCIAL ENGINE

CheckPass employs a high-conversion **Tiered Baseline Subscription** model. By establishing transparent baseline anchors, estate exco committees can immediately verify affordability within their monthly operating budgets without friction.

PLAN TIER	TARGET ESTATE PROFILE	MONTHLY FEE	COST PER HOME	KEY INCLUSIONS & GUARD SUPPORT
Boutique	Closes & Small Courts (Up to 50 Units)	**₦35,000 / mo**	~₦700 / mo	1 Gate terminal, WhatsApp passes, Paystack dues, Digital Guard Guide
Gated Community Most Popular	**Medium Residential Estates (50–200 Units)**	**₦75,000 / mo**	**~₦400 / mo**	**2 Gates, Photo move-out manifest, Artisan directory, Remote Assisted Training**
Enterprise Master	Large CDAs & Multi-Gate Estates (200+ Units)	**₦180,000+ / mo**	~₦280 / mo	Multi-gate sync, **Dedicated On-Site Physical Guard Drills**, Local Server

CHECKPASS MONTHLY UNIT ECONOMICS (PER ESTATE BREAKDOWN)

85.4% BLENDED GROSS MARGIN



Variable Cost Breakdown (COGS)

Average per 100-home active estate:

Cloud API & Redis Cache	**₦3,000 / mo**
Move-out Photo S3 Storage	**₦800 / mo**
SMS & WhatsApp Invites Fallback	**₦2,400 / mo**
Shared Operations Support	**₦4,800 / mo**
Total Monthly COGS	**₦11,000 / mo**

Physical Guard Training (Enterprise Only)

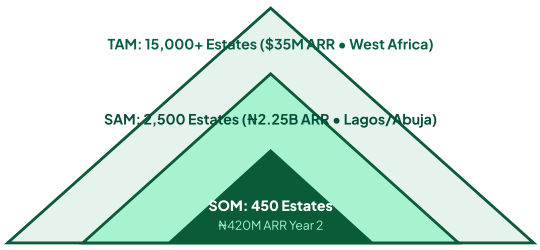
To maintain 85%+ software margins, **in-person guard drills are strictly restricted to the Enterprise tier**.

Field trainer allowance and materials cost ~₦35,000 one-off, amortized within month 1 of an Enterprise contract (₦180,000–₦250,000/mo). Lower tiers use interactive video modules and digital reference cards.

3. Market Sizing & 3-Year Financial Forecast

TAM / SAM / SOM

ADDRESSABLE MARKET HIERARCHY



The Expansion Flywheel

Lagos and Abuja alone contain over 2,500 organized gated estates. CheckPass leverages high density: when an estate on Admiralty Way, Lekki deploys CheckPass, neighboring exco committees immediately observe the streamlined gate flow and inquire.

Near-Zero Churn (< 1%): Once an estate committee configures resident profiles, dues ledgers, and gatehouse equipment, the platform becomes mission-critical infrastructure that is rarely replaced.

3-Year Pro Forma Financial Projections

METRIC (ANNUALIZED)	YEAR 1 (FOUNDATION)	YEAR 2 (EXPANSION)	YEAR 3 (SCALE & FINTECH)
Active Estates Under Management	**120 Estates**	**450 Estates**	**1,200 Estates**
Total Active Resident Households	14,400 Units	58,500 Units	168,000 Units
Average Revenue Per Estate (ARPU / Mo)	₦75,000 / mo	₦78,000 / mo	₦84,000 / mo
Annual Recurring SaaS Revenue (ARR)	**₦108,000,000**	**₦421,200,000**	**₦1,209,600,000**
Fintech Processing Volume (Paystack)	₦1.44B Dues Volume	₦5.85B Dues Volume	₦16.8B Dues Volume
Secondary Revenue (Paystack & Artisans)	₦7,200,000	₦29,250,000	₦84,000,000
Total Annual Net Revenue	**₦115,200,000**	**₦450,450,000**	**₦1,293,600,000 (~$860k)**
Gross Profit Margin (%)	83.2%	85.4%	86.8%
EBITDA Margin (%)	24.5%	38.2%	48.6%

The Seed Investment Ask: $200,000 (₦300 Million)

CheckPass is raising **$200,000** in Seed funding to scale B2B sales across 450 estates in Lagos and Abuja, deepen our Paystack automated dues reconciliation infrastructure, and expand the curated Artisan Directory into a high-margin community commerce engine.

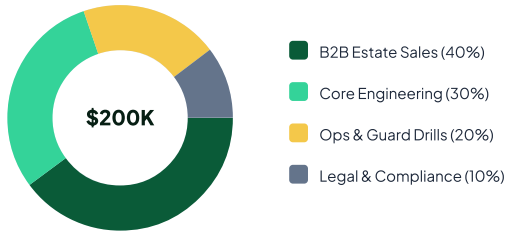
4. Competitive Matrix & Strategic Moat

MARKET POSITIONING

CAPABILITY / FEATURE	CHECKPASS	ESTATEIQ	DEMS	MYNAIJAESTATE	PAPER LOGBOOK
Sub-4s QR Optical Verification	✓ **Native Web/Mobile**	✓ Supported	Limited	OTP Code Only	✗ 5–15 Mins
Offline Cryptographic Tokens	✓ **Zero Downtime**	✗ Needs Internet	✗ Cloud-Only	✗ Cloud-Only	✓ Offline
Photo Move-Out Asset Clearance	✓ **Built-in Moat**	✗ None	✗ None	✗ None	✗ Vulnerable
Integrated Paystack Online Dues	✓ **Instant Receipt**	Manual Invoice	✓ Supported	✗ None	✗ Manual Bank
Verified Artisan Marketplace	✓ **Management Vetted**	✗ None	Basic Directory	✗ None	✗ None
On-Site Physical Guard Drills	✓ **Enterprise Exclusive**	Extra Add-on	✗ None	✗ None	✗ None
Transparent Tiered Pricing	✓ **₦35k / ₦75k / Ent**	✗ Hidden Quote	₦1k–₦2.6k / Unit	₦20 / Token	₦0 (Paper cost)

Use of Funds ($200k Allocation)

CAPITAL DEPLOYMENT ALLOCATION



Target Milestones (18-Month Runway)

- ✓ **Month 6:** 120 onboarded estates across Lekki, Ikeja, and Abuja • ₦9M MRR.
- ✓ **Month 12:** 300 estates • Launch Automated Paystack Direct Debit for service charges.
- ✓ **Month 18:** 450 active estates • ₦35M MRR (₦420M ARR) • Series A readiness.

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